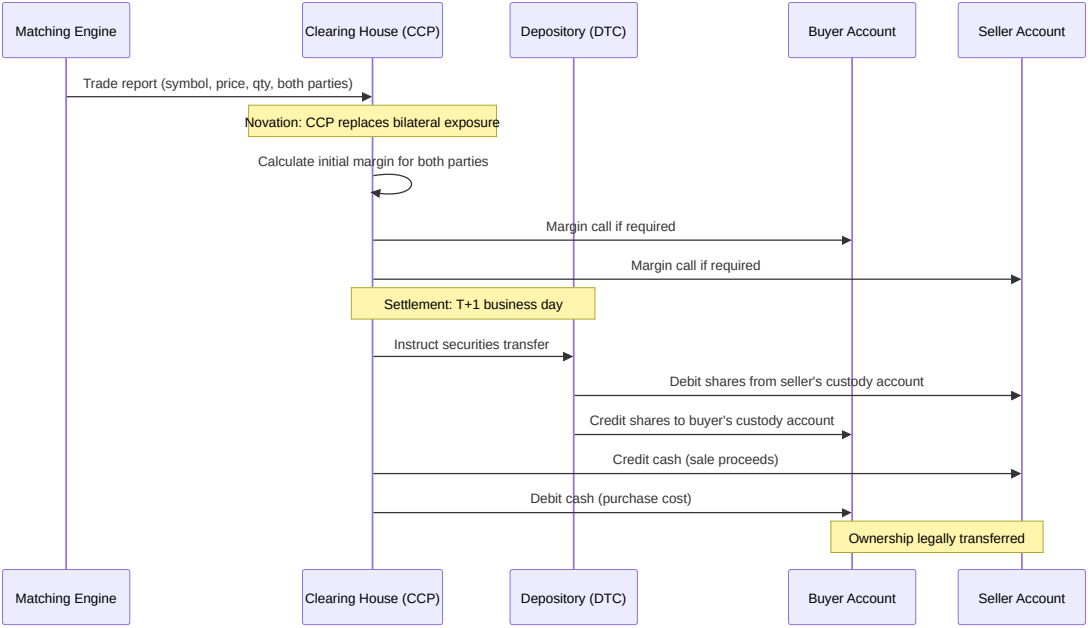
Matching Engine
Clearing House (CCP)
Depository (DTC)
Buyer Account
Seller Account
Trade report (symbol, price, qty, both parties)
Novation: CCP replaces bilateral exposure
Calculate initial margin for both parties
Margin call if required
Margin call if required
Settlement: T+1 business day
Instruct securities transfer
Debit shares from seller's custody account
Credit shares to buyer's custody account
Credit cash (sale proceeds)
Debit cash (purchase cost)
Ownership legally transferred
Matching Engine
Clearing House (CCP)
Depository (DTC)
Buyer Account
Seller Account